LSEG (LSEG LN): Long, best as a pair against FactSet

The rest of LSEG costs less than FactSet

Tobenna Agubuche | 25 October 2026 | Price 9,510p (close 23 Oct) | Market cap c.£46bn | Target 10,680p (+12%)

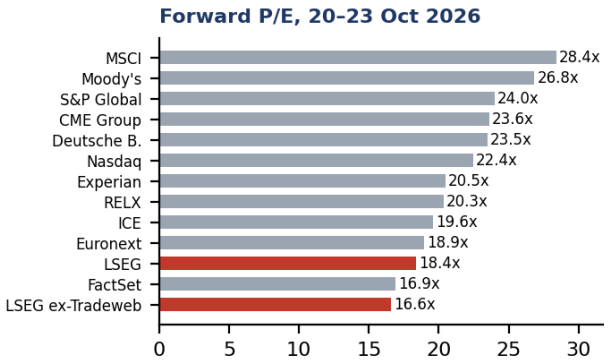
Method	Value per share	vs price
Price target (50% DCF, 50% sum of the parts)	10,680p	+12%
Sum of the parts, peer forward P/E by division	11,480p	+21%
DCF, base case (conservative beta, volumes normalised)	9,880p	+4%
Bear / bull case (DCF)	7,260p / 12,180p	-24% / +28%

The call

LSEG owns 51.2% of Tradeweb, which is listed in New York. At market value that stake is worth about £11.1bn, or 24% of LSEG's market cap. Take it out, along with Tradeweb's share of forward earnings, and the rest of the group trades on 16.6x forward earnings. That is below FactSet (16.9x), the cheapest name in the peer group and the stock most exposed to the idea that AI replaces terminals. The data and analytics peers trade on a median of 20.4x.

The rest of LSEG is more than a terminal business. It includes FTSE Russell, LCH clearing, Risk Intelligence, the London equity market and a data feeds business that grew 7.5% in Q3. On its own history, LSEG trades on 19.8x trailing earnings against a five-year average of 25.3x, in the bottom 10% of that range.

My preferred way to hold it is long LSEG against short FactSet. That pair isolates the mispricing and takes out most of the market risk.





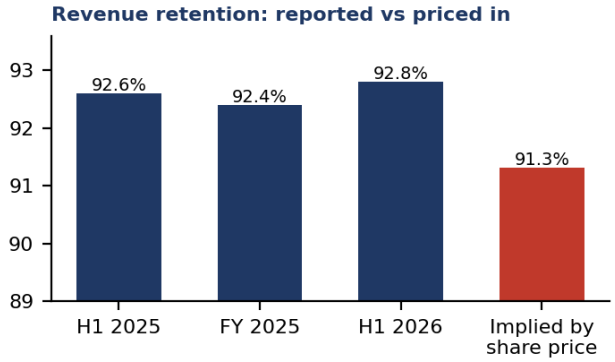
Why the market is wrong

Retention is going up. The bear case is that AI tools cancel subscriptions. LSEG's revenue retention was 92.6% at June 2025, 92.4% at December 2025 and 92.8% at June 2026. My DCF needs it to fall to 91.3% from 2027 to justify today's price. ASV growth was 6.1% at June and rolling gross sales rose to £482m from £435m.

The growth is in data sold into customers' own systems. Data & Feeds grew 7.5% organically in Q3, while Workflows, the terminal side, grew 2.8%. If AI moves usage from screens to machine-readable data, LSEG sells both.

Octus adds content a model cannot scrape. LSEG is paying $3.5bn for private and distressed credit research with double-digit growth and $300m to $320m of revenue this year. It is debt-funded and expected to be earnings-neutral in the first full year.

Cash returns are about 10% of the market cap between January 2026 and February 2027. Equity free cash flow guidance is at least £2.8bn for 2026.



Why now

- Hedge fund short exposure to stocks is near a five-year high on Goldman Sachs prime brokerage data, with the selling concentrated in tech. A crowded short in the AI-loser trade can unwind quickly on one good data point.
- FY2026 results in late February 2027 bring 2027 guidance, the 2027 buyback (£1.0bn to £1.5bn signalled) and the next retention figure.
- Octus completion and regulatory approval.
- Elliott, which disclosed a stake in February, is pushing for portfolio changes. The Tradeweb stake is the obvious part to price.

Model and assumptions

2026 is nine months of reported income plus a Q4 estimate. From 2027, subscription income runs off ASV growth (gross sales plus price, minus churn), and Markets lines run off Tradeweb volume, SwapClear notional and collateral balances. 2026 was a peak year for volumes (Tradeweb ADV up 25% in H1), so the base case holds them flat in 2027.

£m unless stated	2025A	2026E	2027E	2028E
Income excl. recoveries	8,986	9,639	10,234	10,762
Adjusted EBITDA	4,523	4,964	5,273	5,586
Adjusted EPS (p)	420.6	490.8	537.6	585.6
Consensus EPS (p)		480.6	550.9	615.5
Equity free cash flow	2,445	2,801	2,905	3,063
Net debt / EBITDA	1.7x	1.8x	2.2x	2.1x

My 2027 and 2028 EPS sit 2% to 5% below consensus because of the volume normalisation. The call does not rely on beating the street.

Valuation choices a reader may question. I use a beta of 0.85. The observed five-year beta is 0.41 and the Blume-adjusted figure is 0.60, but against a FTSE 100 dominated by energy, miners and banks I think the raw number understates LSEG's exposure to financial-market activity. At 0.60 the DCF gives 13,290p, and at 1.00 it gives 8,420p, so the beta choice matters more than any operating assumption. WACC is 8.3%, terminal growth is 3.0%, and the Tradeweb minority is deducted at market value. The sum of the parts applies each division's peer median forward P/E to its share of earnings and gives a blended 22.3x.

What would make me wrong

- Retention falls below 91% or ASV growth drops under 5%.
- Markets volumes fall rather than flatten in 2027.
- Tradeweb de-rates. The stub argument depends on its 28x multiple.
- Another large acquisition before leverage comes back down from 2.2x.
- On the pair: FactSet short interest is about 9% of float, so the short leg is crowded. I would size it at about £0.53 of FactSet per £1 of LSEG on observed betas and keep it small.

Model, data pipeline and sources: github.com/Tobenna30/finance-models

For discussion only. Not investment advice. Sources: LSEG FY2025 results, H1 2026 interim report, Q3 2026 trading update and IR consensus (13 Oct 2026); Tradeweb 10-Q (30 Jun 2026); SEC EDGAR; Reuters; Goldman Sachs prime brokerage data via 24/7 Wall St.; market data from Alpha Vantage and stockanalysis.com (prices 20 to 23 Oct 2026).